



450 MILLION (FY22) → **523** MILLION (FY23) → **722** MILLION (FY28)

ESTIMATED GROWTH IN IPL'S DIGITAL VIEWERSHIP

SOURCE ELARA CAPITAL, FICCI-EY REPORT 2022

For instance, Disney Star barely managed to *not* incur a loss in the last five-year cycle (2017-2022) for which it had paid ₹16,348 crore for the combined TV and digital rights; and this, despite its dominance over subscription and advertising revenues in the sports segment.

Viacom18's OTT platform Voot is far from being associated with sports streaming and its current share in the advertising video-on-demand (AVOD) segment is only two per cent, compared to Disney+ Hotstar's 16 per cent.

"Making money through subscriptions and advertising would be very challenging. Viacom18 would have to grab a 7-10 per cent share of all advertising spends to recover the money. And all media spend will have to move to IPL during those two months. But, we know that won't be the case," says Chhapparwal of Cricbuzz.

56 | Taurani, however, reasons that all OTT businesses in India are making losses, and are essentially in the race for customer acquisition. "For them, digital money is more strategic in nature to drive eyeballs to their platforms. They don't see it as a profit-making exercise yet," he says.

METHOD TO THE MADNESS

A source with direct knowledge of the matter says that the whole war is for subscribers. "The ₹23,758-crore invest-

ment is to get 500 million people to subscribe to the OTT platform of Sports18 [Viacom18's sports channel]. Even if you get 10 per cent of the 500 million to pay a monthly or yearly fee, that is a lot of money," says the source.

Other sources in Viacom18 say that Reliance could end up skipping Voot, and taking the IPL to a new OTT platform and "experience-driven super app", where people can watch matches, shop for IPL merchandise on Ajio (its e-commerce portal), buy franchise-based match packs, and have other kinds of interactive fan experiences.

So, what's the game plan? "Right now, nobody knows what avatar it is going to take, but the synergies between Reliance Retail, Reliance Jio and Viacom18 are going to be massive. The goal is to create a digital-exclusive experience, where you're not just watching IPL, but also interacting with it," the source explains.

Almost everyone in the business is certain that Viacom18, because of Jio's 400-million-plus subscribers, will have enormous strategic benefits. All of its subscribers have access to the free JioTV app. "That consumer pool is priceless. At some point, Jio would want to monetise that massive user base," says an analyst.

Taurani elaborates, "Customers are hungry for bundles and most people access OTT apps via telco partnerships. Jio has the last-mile delivery advantage there and

OTTs AT A GLANCE

SOURCE FICCI-EY REPORT 2022



80 → **114**
MILLION MILLION

EXPECTED GROWTH
OF ONLINE VIDEO
SUBSCRIBERS FROM
FY22 TO FY24



₹5,400
CRORE

TOTAL REVENUE
FROM OTT
SUBSCRIPTIONS
IN FY22



130-160
MILLION

ESTIMATED SIZE
OF THE OTT
AUDIENCE
IN FY22



27
PER CENT
EXPECTED
GROWTH IN
SUBSCRIPTION
REVENUE IN FY22